

# Financial Statements, Taxes, and Cash Flow

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## LEARNING OBJECTIVES

After studying this chapter, you should be able to:

- Explain the contents of the balance sheet and the statement of profit and loss account.
- Describe different types of cash flows.
- Show how companies may manage the bottom line.
- Discuss the key elements of corporate and individual income tax.

Managers, shareholders, lenders, suppliers, customers, tax authorities, and other interested groups seek answers to the following important questions about a firm:

- What is the financial position of the firm at a given point of time?
- How has the firm performed financially over a given period of time?
- What have been the sources and uses of cash over a given period of time?

To answer the above questions, accountants prepare two principal statements, the balance sheet and the statement of profit and loss and an ancillary statement, the cash flow statement. The balance sheet shows the financial position (or condition) of the firm at a given point of time. It provides a snapshot and may be regarded as a static picture. The statement of profit and loss reflects the performance of the firm over a period of time. Finally, the cash flow statement displays the sources and uses of cash during the period.

Financial statements:

- (a) Provide information on how the firm has performed in the past and what is its current financial position.
- (b) Serve as a convenient device for the stakeholders (shareholders, creditors, regulators, and others) to set performance norms and impose restrictions on the management of the firm.
- (c) Provide convenient templates for financial forecasting and planning.

Financial statements are often an important source of information for financial decisions. Our emphasis in this chapter is not on preparing financial statements—which is

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the job of accountants—but on understanding the kind of information found in these statements.

This chapter provides a primer on financial statements, distinguishes between profit and cash flow, and briefly touches on taxation.

## 3.1 BALANCE SHEET

The balance sheet shows the financial condition of a business at a given point of time. Exhibit 3.1 shows the balance sheet of a hypothetical firm, Horizon Limited, as at March 31, 20X1, prepared as per the format prescribed under the Companies Act 2013.

**Exhibit 3.1** Balance Sheet of Horizon Limited as at March 31, 20X1

|                                  | (₹ in million) |            |
|----------------------------------|----------------|------------|
|                                  | 20X1           | 20X0       |
| <b>EQUITY AND LIABILITIES</b>    |                |            |
| ■ Shareholders' Funds            | 500            | 450        |
| • Share capital (Par value ₹10)  | 100            | 100        |
| • Reserves and surplus           | 400            | 350        |
| ■ Non-current Liabilities        | 300            | 270        |
| • Long-term borrowings           | 200            | 180        |
| • Deferred tax liabilities (net) | 50             | 45         |
| • Long-term provisions           | 50             | 45         |
| ■ Current Liabilities            | 200            | 180        |
| • Short-term borrowings          | 40             | 30         |
| • Trade payables                 | 120            | 110        |
| • Other current liabilities      | 30             | 30         |
| • Short-term provisions          | 10             | 10         |
|                                  | <u>1,000</u>   | <u>900</u> |
| <b>ASSETS</b>                    |                |            |
| ■ Non-current Assets             | 600            | 550        |
| • Fixed assets                   | 500            | 450        |
| • Non-current investments        | 50             | 40         |
| • Long-term loans and advances   | 50             | 60         |
| ■ Current Assets                 | 400            | 350        |
| • Current investments            | 20             | 20         |
| • Inventories                    | 160            | 140        |
| • Trade receivables              | 140            | 120        |
| • Cash and cash equivalents      | 60             | 50         |
| • Short-term loans and advances  | 20             | 20         |
|                                  | <u>1000</u>    | <u>900</u> |

## Equity and Liabilities

Equity and liabilities represent what the firm 'owes' others. The format prescribed in the Companies Act 2013 classifies equity and liabilities as follows:

- Shareholders' funds
- Non-current liabilities
- Current liabilities

**Shareholders' Funds** Shareholders' funds represent the contribution made by shareholders in some form or the other. They include share capital, reserves and surplus, and money received against share warrants. **Share capital** includes equity (or ordinary) capital and preference capital. Equity capital represents the contribution of equity shareholders who are the owners of the firm. Equity capital, being risk capital, carries no fixed rate of dividend. Preference capital represents the contribution of preference shareholders and the dividend rate payable on it is generally fixed.

**Reserves and surplus**, often the most significant item on the balance sheet, represents retained earnings as well as non-earnings items such as share premium. Reserves and surplus comprise capital reserves, securities premium reserve, debenture redemption reserve, revaluation reserve, general reserve, other reserves, and surplus in the statement of profit and loss.

**Non-current Liabilities** Non-current liabilities are liabilities which are expected to be settled after one year of the reporting date. They include long-term borrowings, deferred tax liabilities, long-term provisions, and other long-term liabilities. **Long-term borrowings** are borrowings which have a tenor of more than one year. They generally comprise term loans from financial institutions and banks in India and abroad, rupee bonds (debentures) and foreign currency bonds, and public deposits. Term loans and bonds are typically secured by a charge on the assets of the firm, whereas public deposits represent unsecured borrowings.

**Deferred tax liability (or asset)** arises because of the temporary differences between taxable income and accounting profit. A deferred tax liability (asset) is recognised when the charge in the financial statements is less (more) than the amount allowed for tax purposes.

**Long-term provisions** include provisions for employee benefits such as provident fund, gratuity, superannuation, and leave encashment and other provisions.

**Current Liabilities** Current liabilities are liabilities which are due to be settled within twelve months after the reporting date. They include short-term borrowings, trade payables, short-term provisions, and other current liabilities. **Short-term borrowings** are borrowings which have a tenor of less than one year. They comprise mainly working capital loans, inter-corporate deposits, commercial paper, and public deposits maturing in less than one year.

**Trade payables** are amounts owed to suppliers who have sold goods and services on credit.

**Short-term provisions** mainly represent provisions for dividend and taxes.

## Assets

Assets are resources 'owned' by the firm, which are expected to provide a firm with future economic benefits, by way of higher cash inflows or lower cash outflows. Resources are recognised as assets in accounting when (a) the firm acquires rights over them as a result of a past transaction and (b) the firm can quantify future economic benefits with a fair degree of accuracy.

Assets are classified as follows under the format prescribed by the Companies Act:

- Non-current assets
- Current assets

**Non-current Assets** Non-current assets are relatively long-lived assets. They consist of fixed assets, non-current investments, deferred tax assets (net), long-term loans and advances, and other non-current assets. **Fixed assets** comprise of tangible fixed assets, intangible fixed assets, capital work-in progress, and intangible assets under development. Tangible fixed assets include items such as land, buildings, plant, machinery, furniture, and computers. They are reported in the balance sheet at their net book value, which is simply the gross value (the cost of acquiring the asset) less accumulated depreciation. Intangible fixed assets include items such as patents, copyrights, trademarks, and goodwill. Intangible fixed assets are reported at their net book value, which is simply the gross value less accumulated amortisation.

**Non-current investments** generally comprise of financial securities like equity shares, preference shares, and debentures of other companies, most of which are likely to be associate companies and subsidiary companies. These investments are meant to be held for a long period and are made for the purpose of income and control. Non-current investments are stated at cost less any diminution of value which is regarded as permanent in the opinion of management.

**Long-term loans and advances** are usually loans and advances to subsidiaries, associate companies, employees, and others for a period of more than one year.

**Current Assets** An asset is classified as a current asset when it satisfies any of the following criteria: (a) it is expected to be realised in, or is intended for sale or consumption in, the company's normal operating cycle, (b) it is held primarily for the purpose of being traded, (c) it is expected to be realised within twelve months after the reporting date, or (d) it is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting date. All other assets are classified as non-current.

Current assets include current investments, inventories, trade receivables, cash and cash equivalents, short-term loans and advances, and other current assets. **Current investments** mainly represent short-term holdings of units or shares of mutual fund schemes. These investments are made primarily to generate income from short-term cash surpluses of the firm. Current investments are carried at cost or market (fair) value, whichever is lower.

**Inventories** (also called stocks) comprise of raw materials, work-in-process, finished goods, packing materials, and stores and spares. Inventories are generally valued at cost

or net realisable value, whichever is lower. The cost of inventories includes purchase cost, conversion cost, and other cost incurred to bring them to their respective present location and condition. The cost of raw materials, stores and spares, packing materials, trading and other products is generally determined on a weighted average basis. The cost of work-in-process and finished goods is generally determined on absorption costing basis—this means that the cost figure includes allocation of manufacturing overheads.

**Trade receivables** (also called accounts receivable or sundry debtors) represent the amounts owed to the firm by its customers (who have bought goods and services on credit) and others. Trade receivables are classified into two categories viz., debts outstanding for a period exceeding six months and other debts. Further, trade receivables are classified as debts considered good and debts considered doubtful. Generally, firms make a provision for doubtful debts which is equal to debts considered doubtful. The net figure of trade receivables is arrived at after deducting the provision for doubtful debts.

**Cash and cash equivalents** comprise of cash on hand and credit balances with scheduled banks and non-scheduled banks.

**Short-term loans and advances** comprise of loans and advances given to suppliers, employees, and other companies that are recoverable within a year. The net figure of short-term loans and advances is arrived at after deducting a provision for doubtful advances, if any.

**Other current assets** comprise of items such as interest accrued on investments, dividends receivable, and fixed assets held for sale (the last item is valued at net book value or estimated net realisable value, whichever is lower).

## 3.2 STATEMENT OF PROFIT AND LOSS

The statement of profit and loss presents a summary of the operating and financial transactions which have contributed to the change in the owners' equity during the accounting period. Revenues are transactions that augment owners' equity and expenses are transactions that diminish owners' equity. Hence, the net change in owners' equity during an accounting period, called as profit after tax, is:

$$\text{Profit after tax} = \text{Revenues} - \text{Expenses}$$

This relationship is the basis for constructing the statement of profit and loss which first reports revenues, then expenses, and finally the profit after tax.

Among the various principles underlying the financial accounting model, two are of particular significance for understanding the statement of profit and loss, viz., the realisation principle and the matching principle.

According to the realisation principle, revenue is recognised when the transaction generating the revenue takes place and not when the cash for the transaction is received. To illustrate this principle, let us consider an example. Suppose a firm sells goods worth ₹10,000 on credit to a customer. The revenue is recognised when the sale takes place even though cash may be received later. When the firm receives cash, it will adjust its balance sheet by decreasing the debtors and increasing the cash.

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The matching principle says that the expenses associated with a product/service are recognised when the product/service is sold not when the cash payment is made. For example, consider a retail firm that purchases an item from a wholesaler, stocks it, and finally sells it. The expense will be recognised when the item is sold, not when it is purchased or when it is paid for.

Together, the realisation and matching principles form the basis for what is called **accrual accounting**. Thanks to accrual accounting, the profit after tax of a firm is generally different from its net cash flow.

Exhibit 3.2 shows the statement of profit and loss for Horizon Limited for the year ending March 31, 20X1, prepared as per the format prescribed by the Companies Act.

#### Exhibit 3.2 Statement of Profit and Loss for Horizon Limited for Year Ending March 31, 20X1

|                                                             | (₹ in million) |                 |
|-------------------------------------------------------------|----------------|-----------------|
|                                                             | Current Period | Previous Period |
| ■ Revenues from Operations                                  | 1290           | 1172            |
| ■ Other Income                                              | 10             | 8               |
| ■ Total Revenues                                            | 1300           | 1180            |
| ■ Expenses                                                  |                |                 |
| ● Material expenses                                         | 600            | 560             |
| ● Employee benefit expenses                                 | 200            | 180             |
| ● Finance costs                                             | 30             | 25              |
| ● Depreciation and amortisation expenses                    | 50             | 45              |
| ● Other expenses                                            | 240            | 210             |
| ■ Total Expenses                                            | 1120           | 1020            |
| ■ Profit before Exceptional and Extraordinary Items and Tax | 180            | 160             |
| ■ Exceptional Items                                         | —              | —               |
| ■ Profit before Extraordinary Items and Tax                 | 180            | 160             |
| ■ Extraordinary Items                                       | —              | —               |
| ■ Profit Before Tax                                         | 180            | 160             |
| ■ Tax Expense                                               | 50             | 40              |
| ■ Profit (Loss) for the Period                              | 130            | 120             |
| ■ Earning Per Equity Share                                  |                |                 |
| ● Basic                                                     | 13             |                 |
| ● Diluted                                                   | 13             |                 |

**Revenues from operations** represent revenues from (a) sales of products and services less excise duties and (b) other operating income. For a finance company, revenues from operations consist of revenues from interest and financial services.

**Other income** consists of the following: (a) interest income (in case of a company other than a finance company), (b) dividend income, (c) net gain/loss on sale of investments, and (d) other non-operating income (net of expenses directly attributable to such income).

**Expenses** comprise of material expenses, employee benefit expenses, finance costs, depreciation and amortisation expenses, and other expenses. **Material expenses** equal the cost of materials consumed plus purchase of stock-in-trade minus (plus) increase (decrease) in inventories of finished goods, work-in-progress, and stock-in-trade.

**Employee benefit expenses** are classified as follows: (a) salaries and wages, (b) contribution to provident and other funds, (c) expense on employee stock option plan (ESOP) and employee stock purchase plan (ESPS), and (d) staff welfare expenses.

**Finance costs** are classified as follows: (a) interest expense, (b) other borrowing costs, and (c) applicable net gain/loss on foreign currency transactions and translations.

**Depreciation** represents the allocation of the cost of tangible fixed assets to various accounting periods that benefit from their use; likewise, amortisation represents the allocation of the cost of intangible fixed assets to various accounting periods that benefit from their use.

**Exceptional items** are material items which are infrequent, but not unusual, and they have to be disclosed separately by virtue of their size and incidence, for financial statements to present a true and fair view. Examples of exceptional items are profits or losses on the disposal of fixed assets, abnormal charges for bad debts and write-offs of inventories, surplus arising from the settlement of insurance claims, write off of previously capitalised expenditure on intangible fixed assets other than as part of a process of amortisation.

**Extraordinary items** are material items which are both infrequent and unusual, and they have to be disclosed separately by virtue of their size and incidence, for financial statements to present a true and fair view. Examples of extraordinary items are the discontinuance of a business segment, either through termination or disposal, the sale of investments in subsidiary and associated companies, provision for diminution in the value of a fixed asset because of some extraordinary event, and a change in the basis of taxation due to change in the governmental fiscal policy.

**Tax expense** consists of current tax and deferred tax. **Current tax** is computed by multiplying the taxable income, as reported to the tax authorities, by the appropriate tax rate. **Deferred tax**, also called future income tax, is an accounting concept that arises on account of temporary difference (also called timing difference) caused by items which are included for calculating taxable income and accounting profit but in a different manner over time. For example, depreciation is charged as per the written down value for the taxable income but usually as per the straight line method for calculating the accounting profit. As a result, there are differences in the year-to-year depreciation charges under the two methods, but the total depreciation charges over the life of the asset would be the same under both the methods.

**Basic earnings per share** is the net profit or loss for the period attributable to equity shareholders divided by the weighted average number of equity shares during the period.

To calculate the **diluted earnings per share** the net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period should be adjusted for the potential dilution arising from conversion of debt into equity, exercise of warrants and stock options, and so on.

### 3.3 OTHER ITEMS IN THE ANNUAL REPORT

The annual report of the company is perhaps the most important source of information about the affairs of the company. In addition to the three financial statements (along with the auditor's report), which form its core, the annual report contains the following:

- CEO's Letter to Shareholders
- Directors' Report
- Management Discussion and Analysis
- Report on Corporate Governance
- Notes Forming Part of Financial Statements

**CEO's Letter to Shareholders** The CEO's letter to shareholders is meant to summarise the progress made by the company, highlight significant future objectives and share his/her vision and strategy with existing as well prospective shareholders.

**Directors' Report** The Directors' Report gives a summary of financial performance, recommends a dividend, provides information on appointment of directors, auditors, and cost auditors, and carries a Directors' Responsibility Statement. In addition, it contains information on credit rating, fixed deposits, employee stock option scheme, strategic acquisitions and alliances, human resources development, subsidiary companies, corporate social responsibilities, conservation of energy, technology absorption, and foreign exchange earnings and outgo.

**Management Discussion and Analysis** The section on Management Discussion and Analysis provides an overview of the industry, spells out the strategy and thrust areas of the company, dwells on the risks faced by the company and its risk mitigation initiatives, presents highlights of the company's financial performance, and gives an idea of its internal control system.

**Report on Corporate Governance** Required under Clause 49 of the Listing Agreement with stock exchanges, the corporate governance report gives information on the company's philosophy on corporate governance, board of directors, audit committee, shareholders/investors grievance committee, other board committees, remuneration of directors, and general shareholder information.

**Notes Forming Part of Financial Statements** The notes forming part of financial statements describe the **significant accounting policies** followed by the firm, provides details of various items in the balance sheet (such as share capital, reserves and surplus, secured loans, unsecured loans, fixed assets, investments, inventories, sundry debtors, cash and bank balances, loans and advances, current liabilities and provisions) and the statement of profit and loss (such as sales/income from operations, other income, manufacturing, selling, and administrative expenses, research and development expenditure, and interest), and gives information on employee retirement benefits, segmental performance, related party transactions, leases, derivative contracts, and so on.

### **Consolidated Financial Statements**

Clause 32 of the listing agreement with the stock exchange(s) requires a company to provide consolidated financial statements in addition to the stand-alone financial statements. The consolidated financial statements are prepared by consolidating the accounts of the parent company with those of its subsidiaries in accordance with generally accepted accounting principles and in consonance with Accounting Standard 21 entitled “Consolidated Financial Statements” issued by the Institute of Chartered Accountants of India.

The consolidation of the financial statements has to be done on a line by line basis by adding together like items of assets, liabilities, income, and expenses after eliminating intra-group balances/transactions and resulting unrealised profits/losses in full. The amount shown in respect of reserves is the amount of the relevant reserves as per the balance sheet of the parent company and its share in the post-acquisition increase in the relevant reserves of the consolidated entities.

The consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. The consolidated financial statements are presented, to the extent possible, in the same format as that adopted by the parent company for its stand-alone financial statements.

## **3.4 MANIPULATION OF THE BOTTOM LINE**

Financial statements reflect revenues, expenses, assets, and liabilities. Corporate managements have some discretion in influencing the occurrence, measurement, and reporting of these items. They often use this latitude to manipulate the reported profits referred to as the ‘bottom line’. The devices commonly employed for this purpose are:

- Inflate the sales for the current year by advancing the sales from the following year.
- Alter the ‘other income’ figure by playing with non-operational items like sale of fixed assets and investments.
- Fiddle with the method and rate of depreciation. (A switch may be effected from the written down value method to the straight line method or vice versa).
- Capitalise certain expenses like research and development costs and product promotion costs that are ordinarily written off in the year of incurrence.
- Defer discretionary expenditures (like training, advertising, research and development) to the following year.
- Make inadequate provision for certain known liabilities (gratuity, etc.) and treat certain liabilities as ‘contingent liabilities’ after getting suitable ‘legal opinion’ from obliging lawyers.
- Recognise impairments in the value of investments during prosperous periods.
- Revalue assets to create the impression of substantial reserves.
- Lengthen the accounting year in an attempt to cover poor performance.

**Why Do Companies Manipulate/Smoothen Earnings** A variety of motives prompt firms to manipulate/smoothen earnings. The more common ones are:

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- To project an image that the company is a low risk company (It is assumed that financial analysts regard earnings variability as a key factor in risk evaluation).
- To enhance managerial compensation if the same is linked in some way to reported earnings.
- To promote a perception that the management of the firm is competent.
- To communicate more meaningfully about the long-term prospects of the firm.

**What Can You Do** What can you do to read in between the lines when corporate managements tend to manage the 'bottom line' by employing a variety of ingenious devices? Our suggestions are as follows:

- Acquire greater knowledge of how accountants prepare financial statements and what are the current financial reporting practices.
- Carefully peruse the notes to accounts in order to: (a) discover changes in accounting policies; and (b) learn about the nature and magnitude of contingent liabilities.
- Read the auditor's report and understand the implications of the qualifications in that report.
- Look at the performance of the company over a period of time and do not attach much importance to the figures for one year. Remember that while manipulation may pay for a year or two, it tends to be a self-defeating exercise in the long run. This may be a good safeguard against corporate accounting gimmickry.

## 3.5 PROFIT VERSUS CASH FLOW

It is important to distinguish between profit and cash flow. There are several reasons why profit and cash flow are not the same.

1. When preparing the statement of profit and loss, the accountant does not simply count the cash receipts and cash payments. Instead, he starts with cash payments and then divides them into two parts, viz, current expenditures (such as wages) and capital expenditures (such as purchase of machinery). While current expenditures are deducted from current revenues, capital expenditures are written off (depreciated) over the economic life of the assets (which is normally 3 to 15 years). This means that when calculating the profits of a given year, the accountant deducts depreciation on capital assets purchased in previous years, even though no cash is paid out during the year. Therefore, to calculate the cash flow of the year, you have to add back the depreciation charge (which is not a cash payment) and deduct the expenditure on new capital equipments (which entail a cash payment).
2. Accounting is based on the accrual principle and the matching principle. According to the accrual principle (a) revenue is recognised when it is earned irrespective of when cash is received and (b) expenditure is recognised as an asset or as an expense, when it incurred, irrespective of when cash is paid. According to the matching principle, expenses are matched to revenues.

To understand the difference between profit and cash flow, consider the following situation. In period 1, firm A produces goods that cost 150,000; in period 2 it sells the goods for 200,000 on credit; in period 3 it collects receivables. The profit and cash flow for the three year period are shown as follows:

|                                  | 1         | 2         | 3         |
|----------------------------------|-----------|-----------|-----------|
| 1. Sales                         | 0         | 200,000   | 0         |
| 2. Change in accounts receivable | 0         | 200,000   | (200,000) |
| 3. Cost of goods sold            | 0         | 150,000   | 0         |
| 4. Change in inventories         | 150,000   | (150,000) | 0         |
| 5. Profit: (1) – (3)             | 0         | 50,000    | 0         |
| 6. Cash Inflow: (1) – (2)        | 0         | 0         | 200,000   |
| 7. Cash Outflow: (3) + (4)       | 150,000   | 0         | 0         |
| 8. Net Cash Flow : (6) – (7)     | (150,000) | 0         | 200,000   |

## Net Cash Flow

When we looked at the statement of profit and loss, the emphasis was on profit after tax (also called the bottom line). In finance, however, the focus is on cash flow.

A firm's cash flow generally differs from its profit after tax because some of the revenues/expenses shown on its profit and loss account may not have been received/ paid in cash during the year. The relationship between net cash flow and profit after tax is as follows:

$$\text{Net cash flow} = \text{Profit after tax} - \text{Non-cash revenues} + \text{Non-cash expenses}$$

An example of non-cash revenue is accrued interest income that has not yet been received. It increases the bottom line but is not matched by a cash inflow during the accounting period—the cash inflow would occur in a subsequent period. An example of a non-cash expense is depreciation.

In practice, analysts define the net cash flow as:

$$\text{Net cash flow} = \text{Profit after tax} + \text{Depreciation} + \text{Amortisation}$$

However, note that the above expression will not reflect net cash flow accurately if there are significant non-cash items beyond depreciation and amortisation.

## 3.6 TAXES

Taxes are usually a major cash outflow for a firm. The magnitude of the tax burden is determined by the tax code, which is often amended. If the rules of taxation seem somewhat odd to you, remember that the tax code is significantly influenced by political forces. Hence, it may not always make economic sense.

Taxes may be divided into two broad categories: direct taxes and indirect taxes. A tax is referred to as a direct tax if the impact and incidence of the tax is on the same person. Income tax, wealth tax, and gift tax are examples of direct taxes. A tax is regarded as an indirect tax if the impact and incidence of the tax is on different persons (the impact is on one person but through the process of shifting the incidence is on another). Excise duty, sales tax, and customs duty are the three important indirect taxes.

### Corporate Income Tax

A company's taxable income is determined after taking into account its revenues,

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expenses, and deductions on account of various incentives and reliefs. The taxable income is subject to a tax rate of 30 per cent for domestic companies and 40 per cent for foreign companies.

**Depreciation** Depreciation is charged on blocks of assets which represent a group of assets, within the broad class of assets such as buildings, plant, machinery, and furniture, for which a common rate of depreciation is applicable. Depreciation is calculated by applying the prescribed rate (which varies between 5 per cent and 100 per cent) on the written down value (WDV) of the entire block. When an asset is sold the amount realised from the sale of such asset (after deducting expense on sales) will simply be deducted from the WDV of that block. If the amount realised is greater than the WDV of the block, the difference will be treated as a short term capital gain. In a case where all the assets in the block are disposed off and there is still a balance in the account of the block, such amount will be treated as short term capital loss.

It may be noted that when an asset is acquired and put to use during the previous year for a period less than 180 days then depreciation will be allowed only to the extent of 50 per cent of the prescribed rate for that asset in the year of acquisition.

**Interest Expense versus Dividend Payment** While interest on borrowings is a tax-deductible expense, meaning that it can be deducted before determining the taxable income, dividend on share capital (equity as well as preference) is not a tax-deductible payment.

**Dividend Income** When a domestic company receives dividend from another domestic company, it is allowed a deduction of an amount equal to the amount of dividend received from another company that it distributes to its shareholders.

**Unabsorbed Business Loss and Depreciation** Unabsorbed business loss (other than speculation business loss) of any year can be carried forward and set off against income under the head of business of subsequent years. Such carry forward can be done for eight subsequent years from the year in which the loss was computed. Unabsorbed depreciation can be carried forward and set off against the income from any other head of subsequent years without any limitation as to the number of years.

**Exemptions and Deductions** A variety of exemptions and deductions are granted under the Income Tax Act. The important ones are: exemption of profits and gains from the export of articles or things or software from a unit established in a Free Trade Zone; exemption of profits and gains from the export of articles or things or computer software from a 100 per cent exported oriented unit; deduction in respect of profits and gains from a new industrial undertaking; deduction in respect of profits from an industrial undertaking established in an industrially backward area.

**Minimum Alternate Tax** If the income tax payable on the total income of a company, as computed under the Income Tax Act, is less than 18.5 of its book profit, the tax payable shall be deemed to be 18.5 per cent of such book profit. That is every company has to pay at least 18.5 per cent of the book profit as tax. Book profit means the net profit shown in the profit and loss account prepared for company law purposes, subject to certain adjustments.

**Surcharge and Education Cess** For domestic (foreign) companies the surcharge is 5 per cent (2 per cent). In addition, there is an education cess of 3 per cent.

**Advance Tax** Advance tax is payable on the current income of the company in four instalments during the financial year. Specifically, companies are required to pay 15 per cent of their estimated tax liability by June 15, 45 per cent by September 15, 75 per cent by December 15, and 100 per cent by March 15.

## Individual Income Tax

Individuals pay taxes on salaries, investment income, and other incomes. The salient features of individual taxation are described below briefly.

**Progressive Tax Structure** Tax rates on individual income are progressive, implying that the higher the income, the larger the percentage paid in taxes. For the assessment year 2014-2015, the individual tax rates are as follows:

| <i>Income Range</i>  | <i>Tax Rate (%)</i> |
|----------------------|---------------------|
| ₹0–₹200,000          | 0                   |
| ₹200,001–₹500,000    | 10                  |
| ₹500,001–₹10,00,000  | 20                  |
| ₹10,00,001 and above | 30                  |

**Interest and Dividend Income** Subject to certain exemptions and deductions, interest received by an individual from bank deposits, company debentures, government securities, and so on is added to other income for tax purposes. Likewise, dividend received by an individual from companies and mutual funds, subject to certain exemptions, is added to other income for tax purposes.

**Capital Gains** Assets such as shares, debentures, and real estate are called capital assets. If you buy a capital asset and later sell it at a price greater than your cost, the gain is called a capital gain; if you sell it at a loss, it is called a capital loss.

Capital gains are classified as long-term and short-term, depending on the period of holding of the capital asset. If the asset is held for more than 12 months in the case of shares and listed securities or units of mutual funds (or more than 36 months in the case of other assets), the gain is treated as a long-term capital gain; otherwise the gain is treated as a short-term capital gain.

Long-term capital gains, after the benefit of indexation, are taxed at a flat rate of 20 per cent. However, long-term capital gains arising from the sale of equity shares or units of an equity-oriented mutual fund are exempt from tax, provided the transaction is chargeable to securities transaction tax.

Short-term capital gains from the sale of equity shares and units of an equity-oriented mutual fund are taxed at 15 per cent provided the transaction is chargeable to security transaction tax. Other short-term capital gains are taxed at the rate applicable to the assessee.

## Indirect Taxes

The three most important indirect taxes are the excise duty, the sales tax, and the customs duty.

### 3.16 Fundamentals of Financial Management

**Central Excise Duty** The principal source of revenue for the central government<sup>1</sup>, the central excise represents a levy on the goods manufactured in the country. Central excise duties are governed by the Central Excise Act, Central Excise Tariff Act, and Central Excise Rules.

**Sales Tax** A major source of revenue for state governments, sales tax is leviable on “sale of goods.” The Constitution of India has laid down that taxes on the sales or purchases of goods, other than newspapers, will come under the jurisdiction of the state governments. Hence, every state has its own general sales tax law. The constitution, however, imposes a restriction on the tax to be levied by the states on the sale or purchase outside the respective states (or in the course of import or export of goods). For this purpose, the Central Sales Tax was enacted by the parliament.

**Customs Duty** Customs duty is an important indirect tax levied by the central government on the import of goods into India or the export of goods out of India. The rates of customs duty applicable to various goods are specified under the Customs Tariff Act 1975. This is based on a system of classification, derived from the international convention of ‘harmonised commodity description’ and ‘coding system’ which is quite rational.

## SUMMARY

- The balance sheet shows the financial position (or condition) of a firm at a given point of time. It provides a snapshot and may be regarded as a static picture. The income statement (referred to in India as the statement of profit and loss) reflects the performance of a firm over a period of time. The cash flow statement portrays the flow of cash through the business during a given accounting period.
- Corporate managements have discretion in influencing the occurrence, measurement and reporting of revenues, expenses, assets and liabilities. They may use this latitude to manage the bottom line.
- Taxes can be one of the major cash outflows for a firm. The magnitude of the tax burden is determined by the tax code, which is subject to change.
- Taxes may be divided into two broad categories: direct taxes and indirect taxes. A tax is referred to as a direct tax if the impact and incidence of the tax is on the same person. A tax is regarded as an indirect tax if the impact and incidence of the tax is on different persons.

## QUESTIONS

1. What are the three financial statements? What functions are served by them?
2. Describe the various asset accounts and liability accounts found on a company's balance sheet.
3. Discuss the important items found on the statement of profit and loss.
4. What are the salient features of corporate income tax?
5. What are the salient features of individual income tax?

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<sup>1</sup>The excise duty is also levied by state government on items like liquor.